

Seller Performance & Customer Experience

A Diagnostic Analysis of Olist Marketplace
Data from Olist's +100,000 orders database



Data Acquired From **olist**

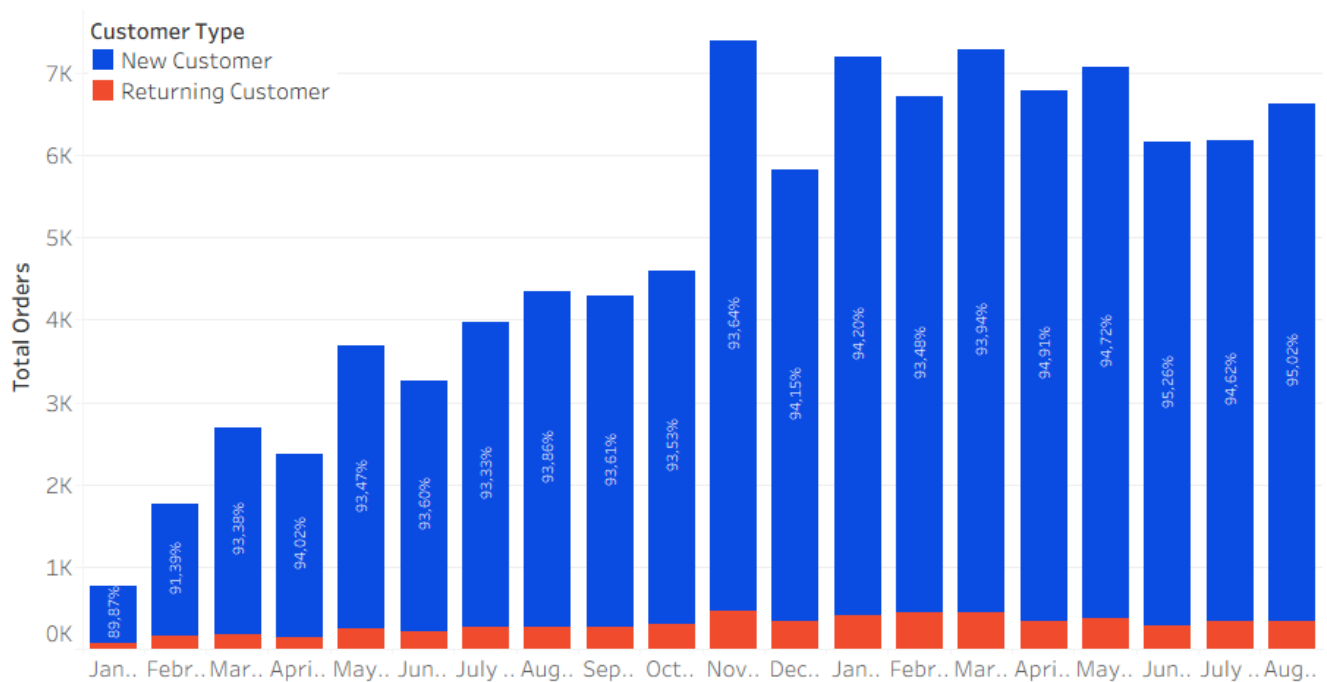
Sales are Climbing Steadily

Since December 2017 onward, sales has growth steadily and reaching it's peak on May 2018 reaching up to +R\$116 million.



But it's Almost Entirely Driven by New Customers

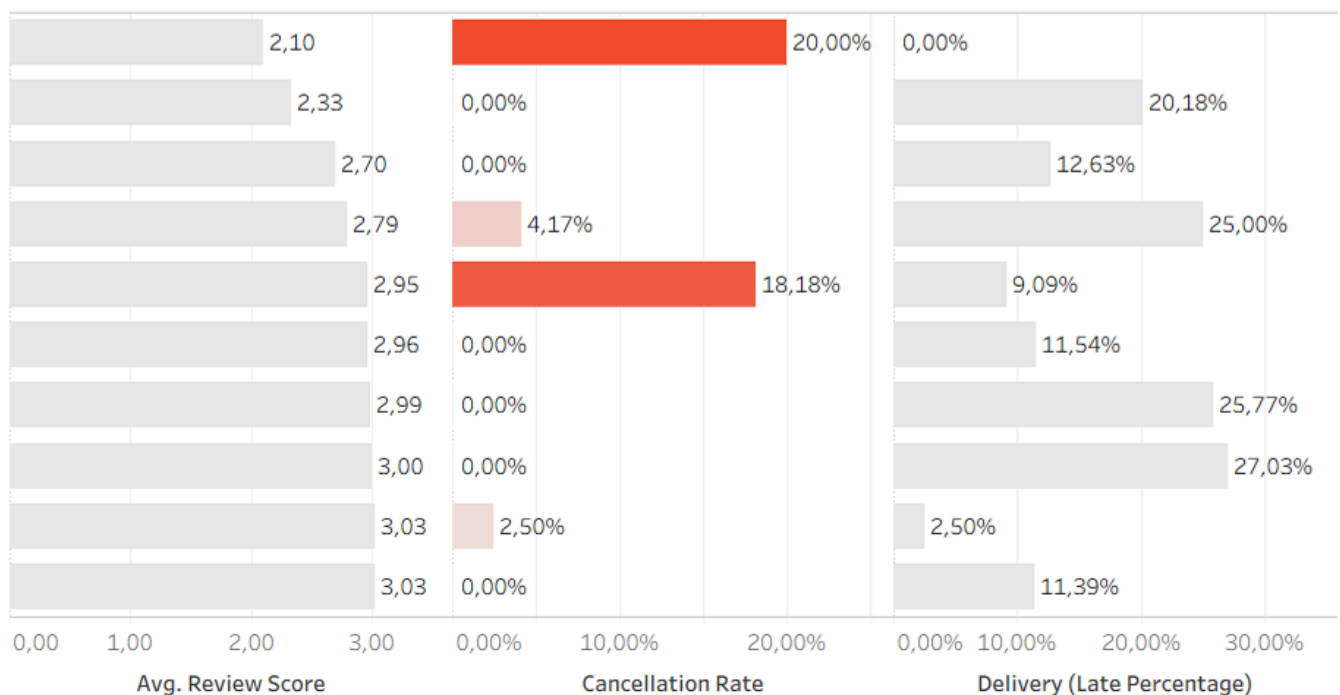
Since January 2017, almost +90% of overall sales are carried out by new users.



Why Aren't They Coming Back?

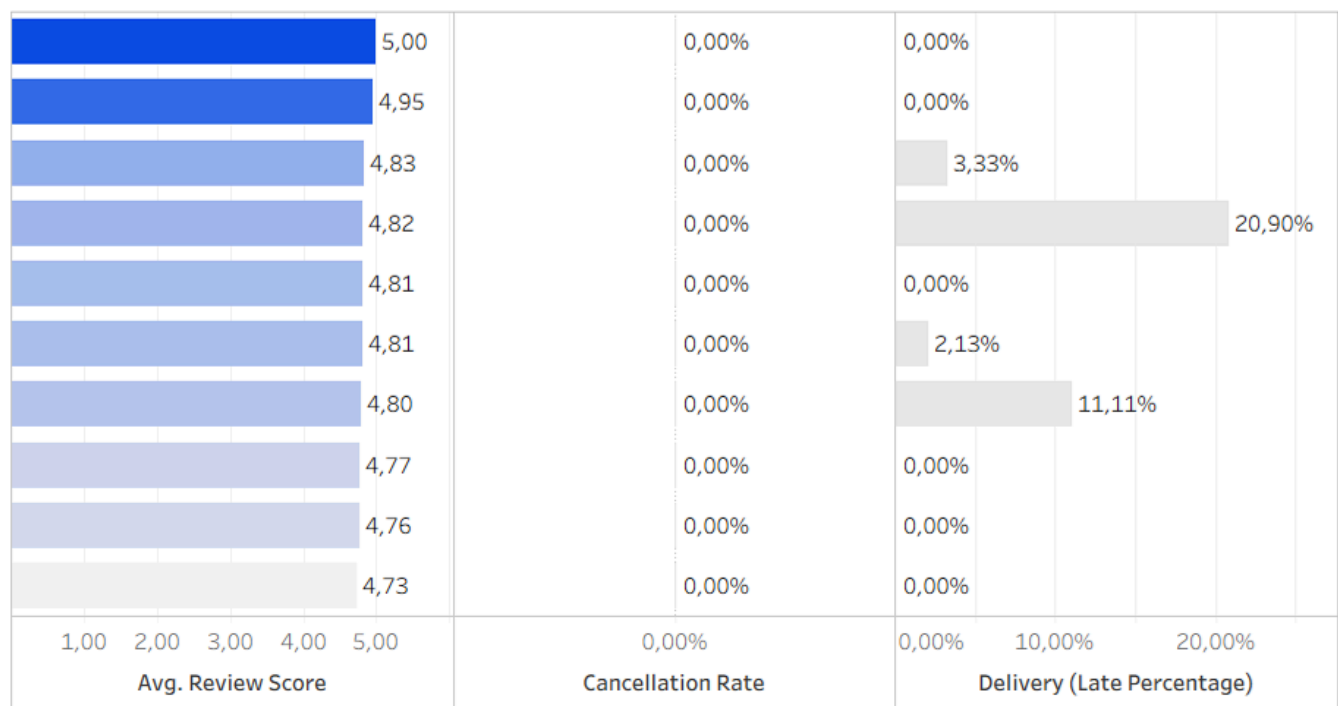
Worst and Top Sellers Behave Very Differently

Almost all worst performing sellers (Top 10 on Negative Reviews), have above average late package percentage, with some of them even have 1/4th of all package are late. Some of the worst performing sellers also have quite high package cancellation rate, with some of them having almost 1/5th of their package getting cancelled.



On the Other Hand, Top Sellers on Average Show Excellent Figure on Cancellation and Late Package Percentage

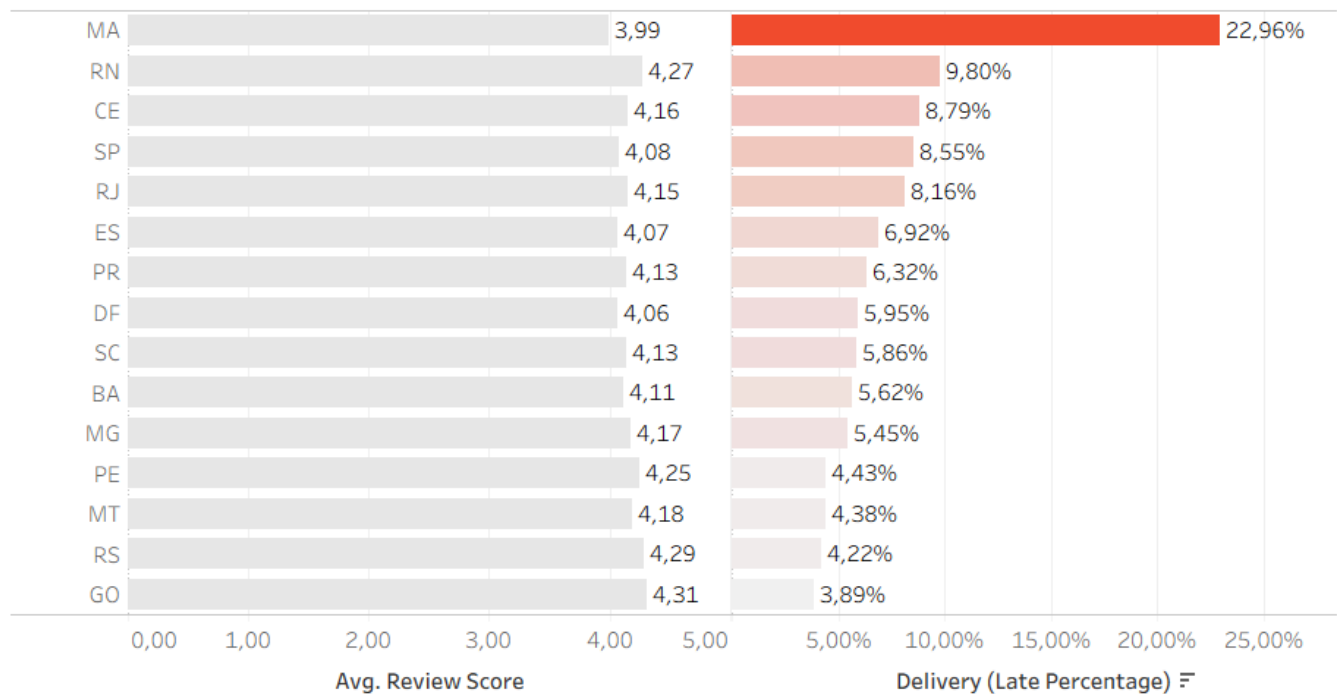
Top sellers (Sellers with Top 10 Best Reviews) all achieve 0% of package cancellation rate, on average top sellers also show excellent late package percentage, with only two of them having above average (+7%) late package percentage.



The Problems are Concentrated in Some Areas

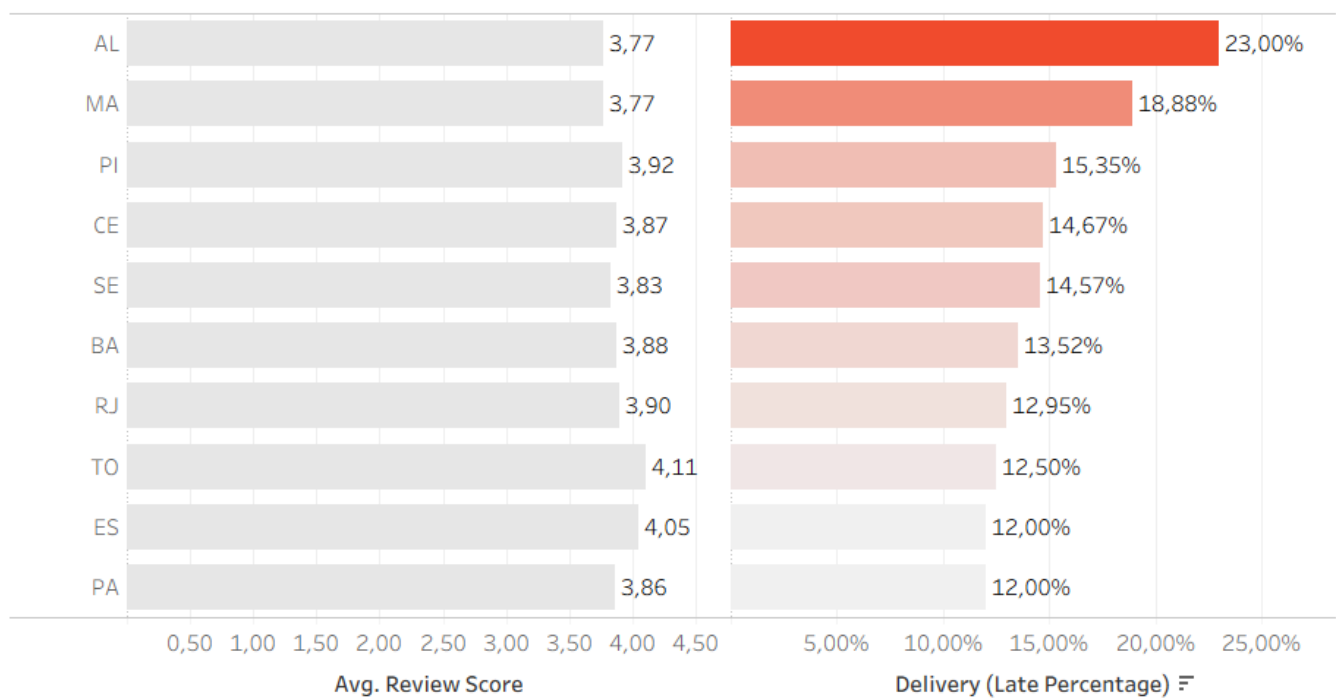
1/5th of Package Sent From Maranhão (MA) Arrives Late

Maranhão (MA) showed very poor compared to other states, every other state shows less than 10% of late delivery percentage. This might be an indication of infrastructure or bottleneck that Olist needs to investigate deeper.



Delivery to Both Alagoas (AL) and Maranhão (MA) Are Concerning

Almost 1/5th of delivery into Alagoas (AL) and Maranhão (MA) are late behind schedule, this confirms our previous suspicion that late delivery especially in Maranhão (MA) are not just a problem caused by sellers.



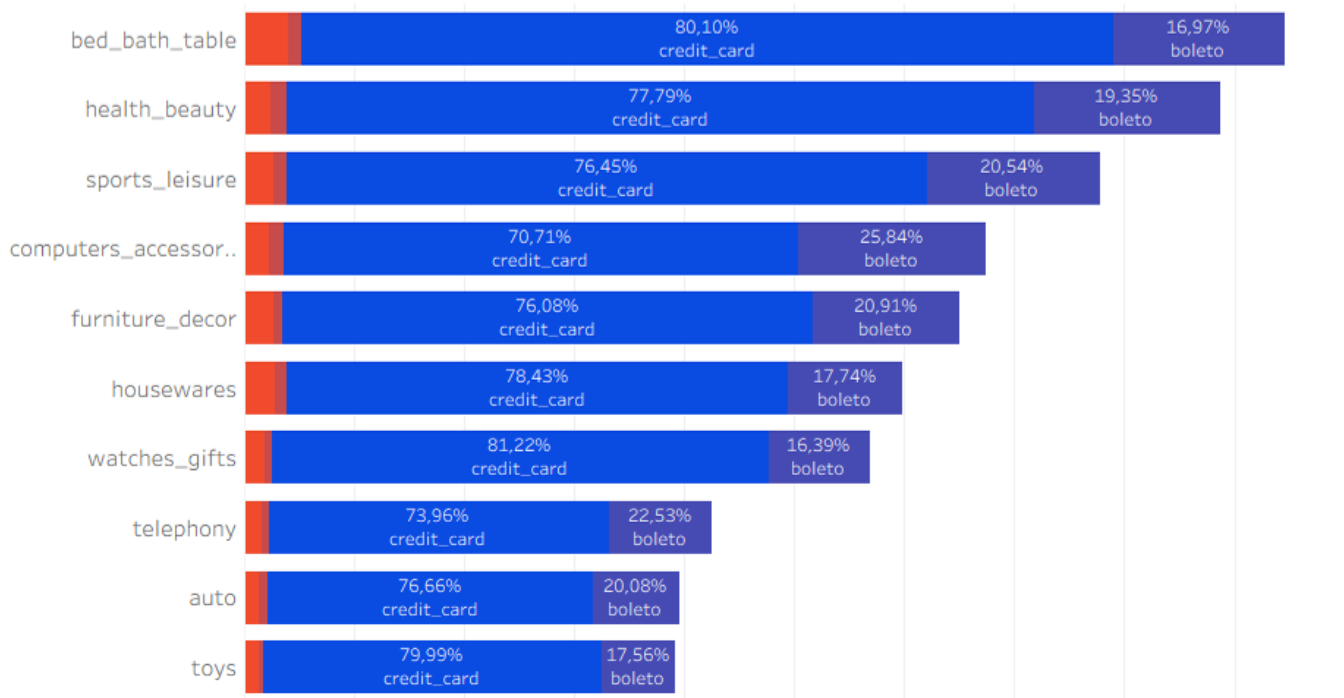
Data for Package Destinations with Above Average Late Percentage

Seller State	Customer State	Delivery (Late Percentage)	Avg. Review Score
DF	SC	19,05%	4,62
MA	DF	18,52%	3,78
	MG	16,13%	4,28
	SP	24,80%	3,89
MG	AL	16,67%	4,06
PR	AL	35,90%	3,28
	BA	16,22%	3,76
	MA	19,05%	3,76
	RN	15,00%	3,90
	SE	17,39%	3,96
RJ	CE	21,05%	3,56
	MS	15,15%	4,21
RS	BA	16,67%	4,07
SC	CE	26,09%	3,65
	MA	18,18%	3,86
SP	AL	25,19%	3,63
	MA	20,63%	3,63
	PI	17,49%	3,88
	SE	16,04%	3,76

A Silver Lining in How Customers Pay

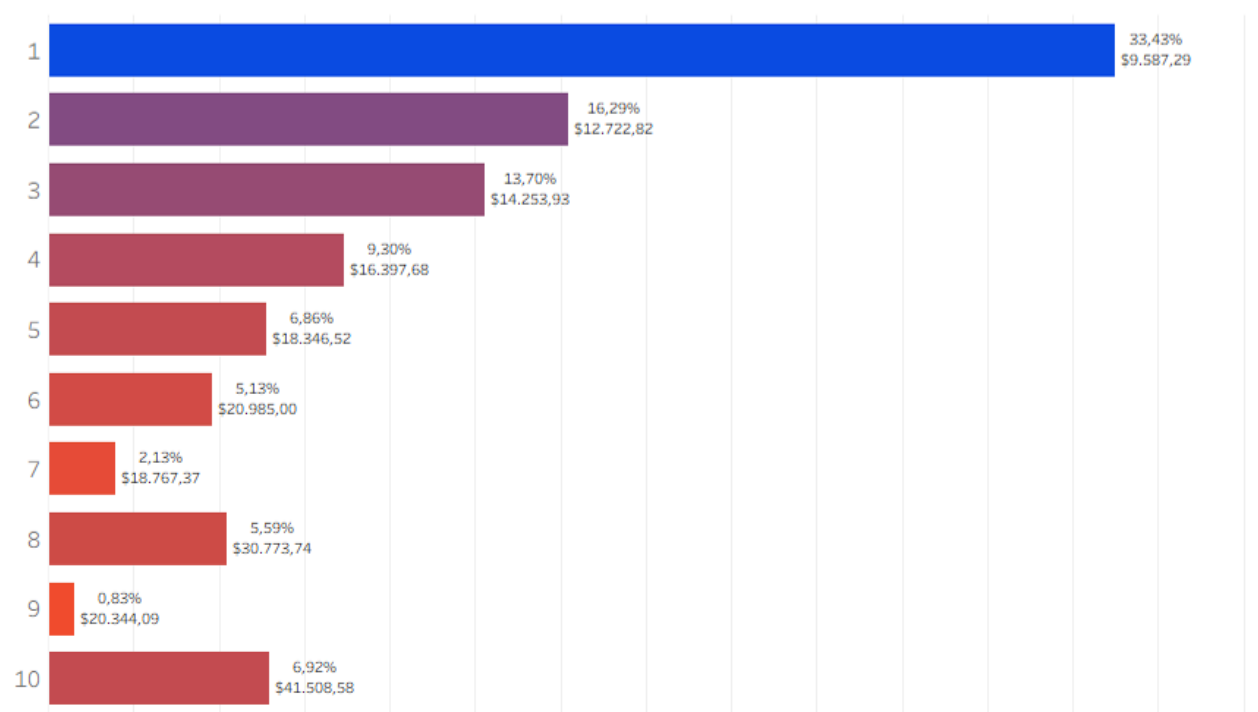
Most Customers Uses Credit Card for Their Payment Method

Across different categories, credit card is used by +70% of customers.



The Bigger The Transactions, Payment Installments Generally Tend to be Longer

Most customers tend to choose shorter month payment installments, especially one month payment for customers with transaction averaging +R\$9,500 tend to choose one month payment installments. On the other hand, customers with bigger transaction value choosing longer payment installments, for example customers transaction averaging +R\$40,000 tend to choose 10 months payment installments.



Recommendation

Create Retention Program while Maintaining Current Acquisition Program

Delivery and product cancellation are two of probably many other reasons why retention rates are so low, more efforts needed beyond delivery.

Conduct a Deeper Investigation in Maranhão and Alagoas to Gain Better Understanding of What Caused Delivery Bottleneck

Data did show that product delivery in and out Maranhão and Alagoas have higher late percentages, but we don't know what caused it.

Adjusted Delivery Estimation for Delivery Involving Maranhão and Alagoas

For short term or temporary fix, it's better for company to let customers know their actual or adjusted product arrival prediction.

Coaching for Sellers Related to Product Delivery

In order to improve customer satisfaction and retention rate, sellers coaching will improve seller's service and eventually will improve customer satisfaction rate.

Recommendation

Tighter Regulation for Incompetent Sellers

Along with the implementation of seller's service, tighter regulation also needed to demonstrate firmness and company's attention to customer satisfaction.

Promote Longer Installments for Product with High Value Categories

Since customers with larger transactions generally tend to choose longer installments, Olist needs to ensure longer installments are offered to customers.